DATA VISUALIZATION

FEBRUARY 2026

AMERICAN EXPRESS

Presentation

Presented by **GROUP 1**

HUTL INTERNATIONAL BUSINESS SCHOOL

Overview

Introduction

Investor Lens

Stock price benchmark

Revenue Benchmark

Profit benchmark

Positioning & Structural Risk vs Peers

ESG analysis

Recommendation

Conclusion

Thank You

Appendix

INTRODUCTION

> American Express is a globally integrated payments leader that leverages a high-margin 'closed-loop' network to provide premium financial services to the world's most affluent and creditworthy consumer base."

Who is?



American express

Data visualization

Investor Lens

How We'll Judge AMEX: The NEST Investment Lens

Capital Preservation

Ensure the business can withstand market

Cycle Resilience

2020-2024

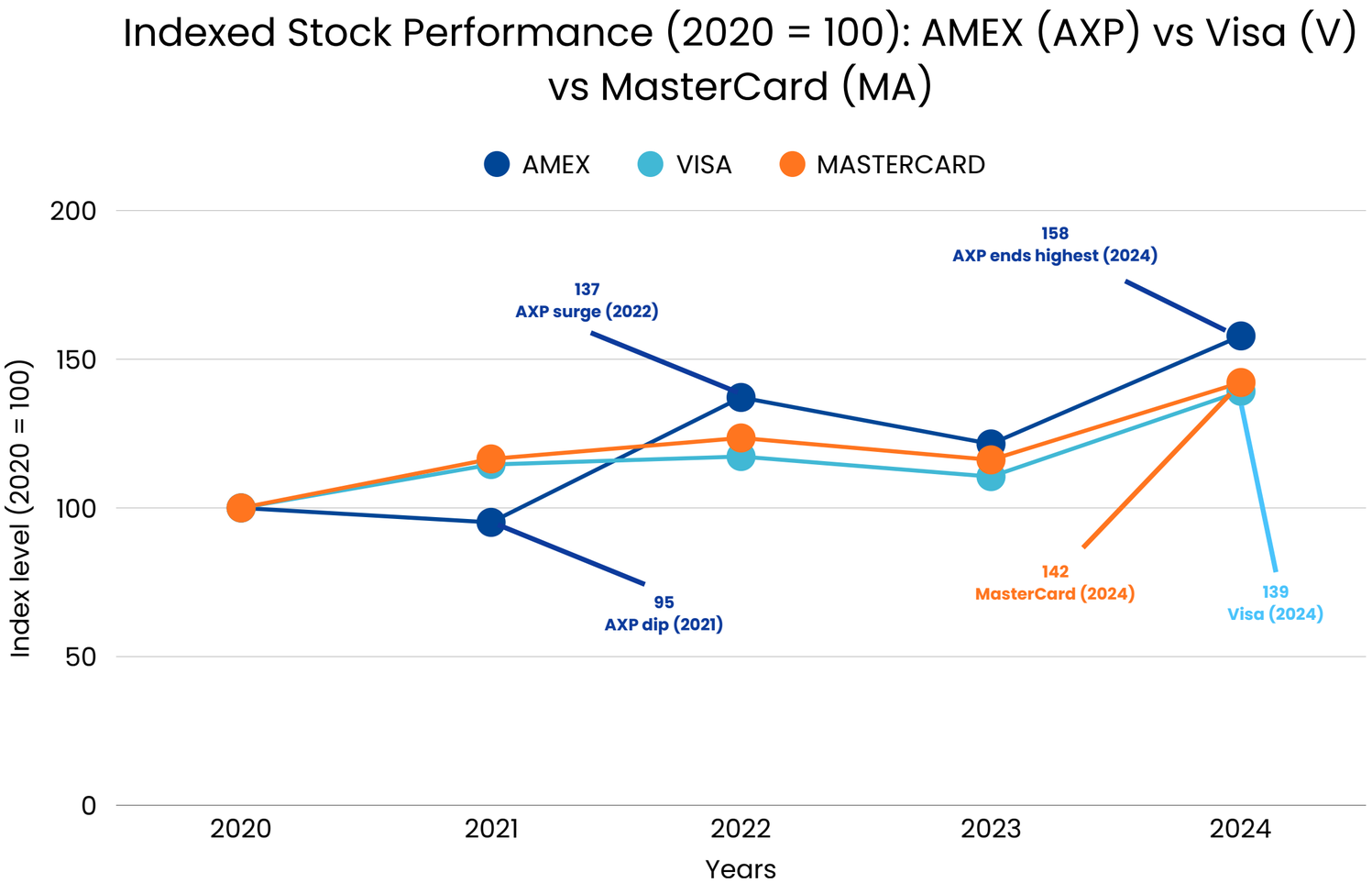
Navigate the full economic cycle from pandemic to recovery

ESG Credibillity

Identify governance risks & data gaps beyond surface-level scores



Stock price benchmark



Relative Return

Indexed to 2020 = 100, AXP ends highest in 2024 (+~58%) vs Mastercard (+~42%) and Visa (+~39%).

Volatility / smoothness

AXP shows larger swings across the period (more up-and-down than Visa/Mastercard), indicating higher volatility.

Downside resilience

While slightly more volatile compared to Visa and Mastercard, ends 2024 with higher level and strong recovery momentum.

This yearly view doesn't capture the intra-year COVID crash in 2020; it shows the broader 2020 – 2024

American Express

Data visualization

Revenue Benchmark



INSIGHTS

- All three companies recovered after COVID-19
- American Express shows stronger post-pandemic growth
- Visa and Mastercard demonstrate more stable revenue trends
- Digital payments remain a strong long-term driver

American Express

Data visualization

Profit benchmark

2020 - 2024

Strong Recovery

Net income rebounded from $3.1B (2020) to $10B (2024), showing strong earnings resilience.

Resilience Test

Visa and Mastercard stayed profitable in 2020. AMEX's lending model caused sharper volatility.

Benchmarking Focuses on Trends Not Absolute Margins

AMEX's lower margins (13-18%) reflect its lending model, not weaker performance. Compare trends.

Business Model and Structural Risk Comparison

CRITERIA	AMEX	VISA	MASTERCARD
Business Model	Closed-loop	Open-loop	Open-loop
Card Issue	Issue own cards	Bank issues cards	Bank issues cards
Revenue Source	Transaction fees + interest income	Transaction fees	Transaction fees
Target Market	Premium costumers	Mass Market	Mass Market
Global Acceptance	Moderate	Very high	Very high
Merchant fees	Higher	Lower	Lower
Structural Risk	Smaller acceptance network	Low	Low

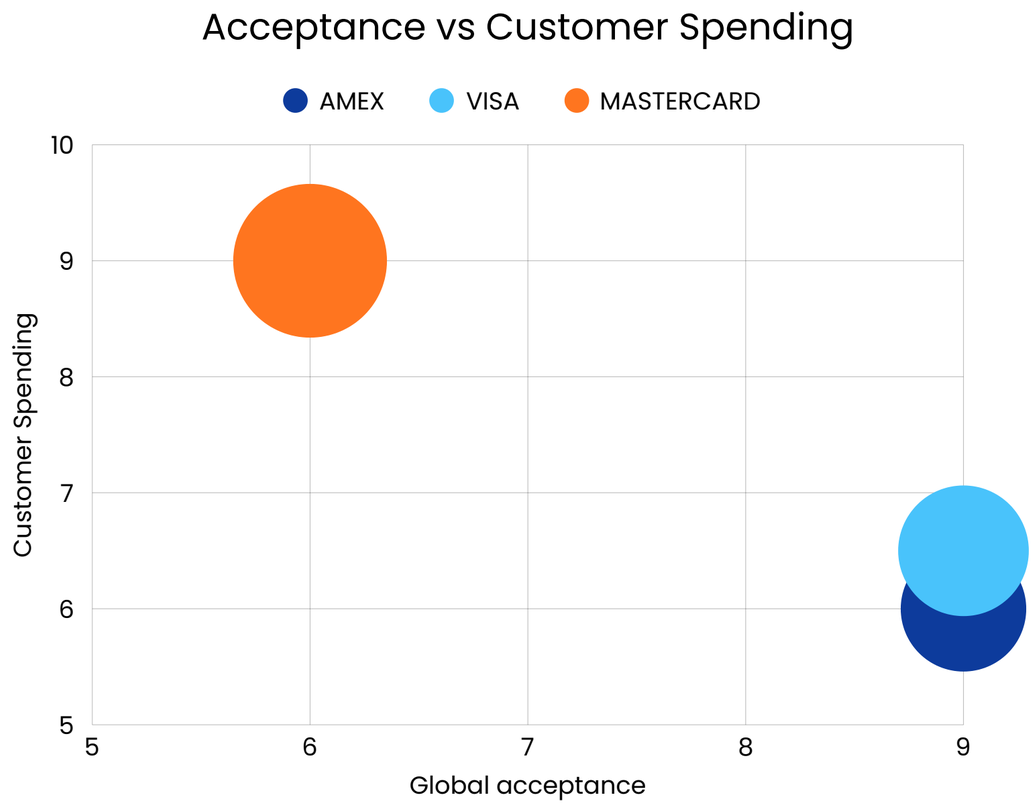
American Express benefits from strong premium positioning and higher customer spending. However, its smaller acceptance network and higher merchant fees represent a structural constraint compared to Visa and Mastercard's globally scalable models.

American Express

Key Risk / Positioning insight :

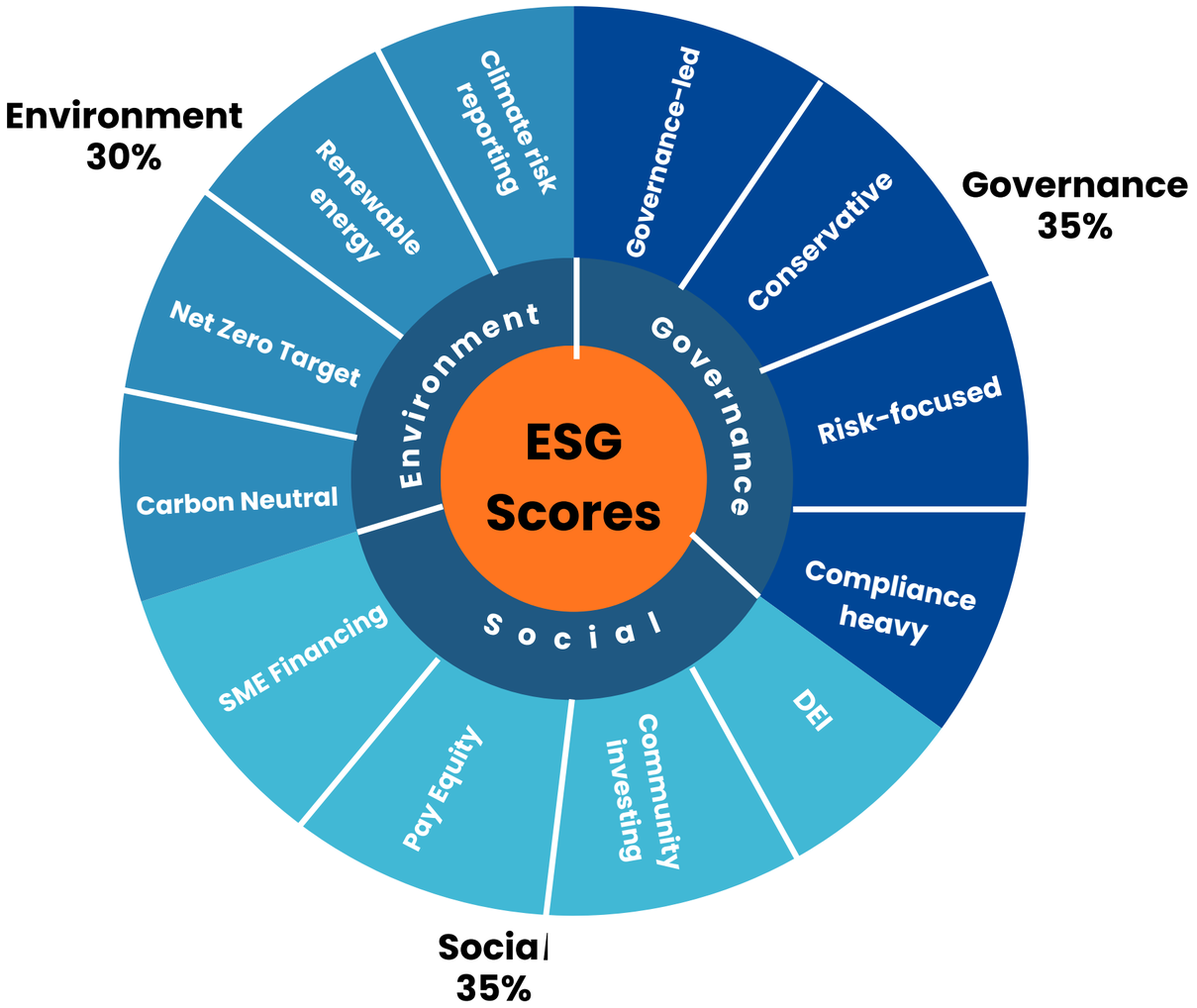
Insight

Higher acceptance improves scalability and resilience, while higher spending per customer increases profitability but may increase cyclical exposure.



ESG Analysis





AMEX against Competitors - A Comparative Study from an Investor's Lens

ESG Pillars	AMEX	VISA	Mastercard
Environmental	Strong	Strong	Excellent
Social	Excellent	Good	Good
Governance	Excellent	Excellent	Excellent
ESG Data Quality	Excellent	Excellent	Excellent
ESG- NEST Alignment	Excellent	Strong	Strong

The comparative study of American Express, Visa, and Mastercard evaluates each firm's ESG performance relative to NEST's responsible investment requirements, with the objective of identifying the company demonstrating the strongest strategic and operational alignment.

American express

Recommendation

months

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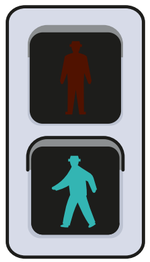
Invest via phased allocation (SMP)

SMP: systematic phased buying to reduce timing risk.

WHY?

Durable profitability & recovery post 2020

Cycle resilience



Higher credit exposure and more cycle sensitive

Risk - aware Implementation



Alignment with Nest's RI lens & customer economics support revenue quality

Long term fit and ESG alignment

Capital preservation approach: phased entry, modest sizing, and pausing adds if risk signals deteriorate.

American express

RECOMMENDATION

How we Invest (Implementation)

~ 20 - 25% now

~75–80% in equal monthly tranches (AXP shares / equity exposure).

- **Sizing:** keep AMEX a modest allocation within the payments/financials sleeve
- **Rule:** Keep buying AXP only if none of the watchlist triggers are triggered

When Do We Pause? (Watchlist triggers)

- **Competitiveness trigger:** evidence AMEX's acceptance/merchant momentum is weakening vs peers
- **Profitability/credit trigger:** credit losses rise or profitability weakens materially vs recent trend
- **ESG trigger:** a major controversy OR ESG rating credibility worsens (big downgrade / widening disagreement)

Expected Outcomes

- Smoother entry than a lump-sum buy (volatility managed).
- Compounding potential from premium customer economics (higher spend + fee-led model), while monitoring acceptance/credit & ESG risks.

Thank You So Much!

Goup 1

APPENDIX





American Express (AXP): A Long-Term Investment Analysis



A global leader of premium payment services and integed solutions

Does American Express align with NEST's NEST-term mandate for sustainable growth and capital presevation?

How We'll Judge AMEX: The NEST Investment Lens

Capital Preservation

Ensure the business can withstand market doutrwns.

Cycle Resilience

2020-2024

Navigate the full economic cycle from pandemic to recovery

ESG Credibility

Identify governance risks & data gaps beyond surface-level scores

Insight A

AXP is a strong earnings-recovery story, but structurally lower-margin than V/MA
AXP's profits are solid and growing, but its net margins (~8–18%) are far below Visa/Mastercard (~42–55%). This reflects a more credit- and funding-intensive, higher-cost integrated model, versus Visa/Mastercard's asset-light payment networks with structurally higher margins.

Insight B

2020 "stress test" highlights different risk profiles
AXP's net income dropped to $3.13B in 2020 and then rebounded strongly. Visa and Mastercard remained very profitable in 2020 ($10.87B and $6.41B respectively), underscoring higher resilience during that shock. For a pension fund, this resilience reduces the risk of forced value destruction or dividend cuts in downturns.

Insight C

Profitability quality favours V/MA; growth momentum is strong for AXP
AXP's revenue growth from 2020–2024 is very strong (nearly 2x), signalling robust demand and effective pricing. Visa and Mastercard also grew steadily, with consistently high margins that support powerful long-run compounding.

Insight D

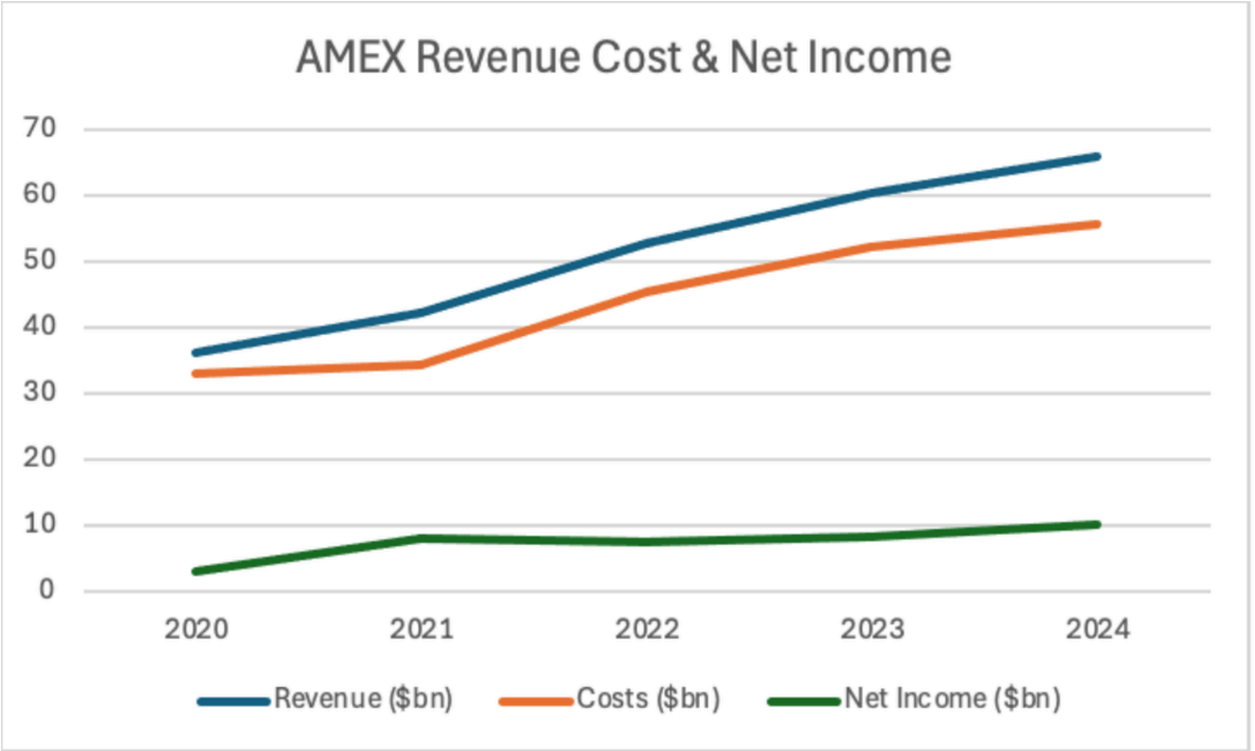
Fair benchmarking and portfolio role
These are not identical business models:

- AXP: integrated card issuer plus payments network with balance-sheet and credit exposure.
- V/MA: network-only "toll road" payment platforms.

Thus, the fairest profitability comparison focuses on trend and resilience, not only absolute margin levels. Visa and Mastercard demonstrate consistently superior margin quality and strong earnings growth, making them natural core profitability anchors in a long-term portfolio. American Express shows strong revenue momentum and profit recovery but with lower structural margins and more cyclicality, positioning it as a complementary holding (premium consumer and travel exposure) that merits disciplined sizing, phased allocation, and monitoring—subject to the ESG and strategy views developed in your group's other sections.

REVENUE, COSTS, AND NET INCOME
2020–2024

Year	Revenue ($bn)	Costs ($bn)	Net Income ($bn)
2020	36.09	32.95	3.14
2021	42.38	34.32	8.06
2022	52.86	45.35	7.51
2023	60.52	52.14	8.37
2024	65.95	55.82	10.13



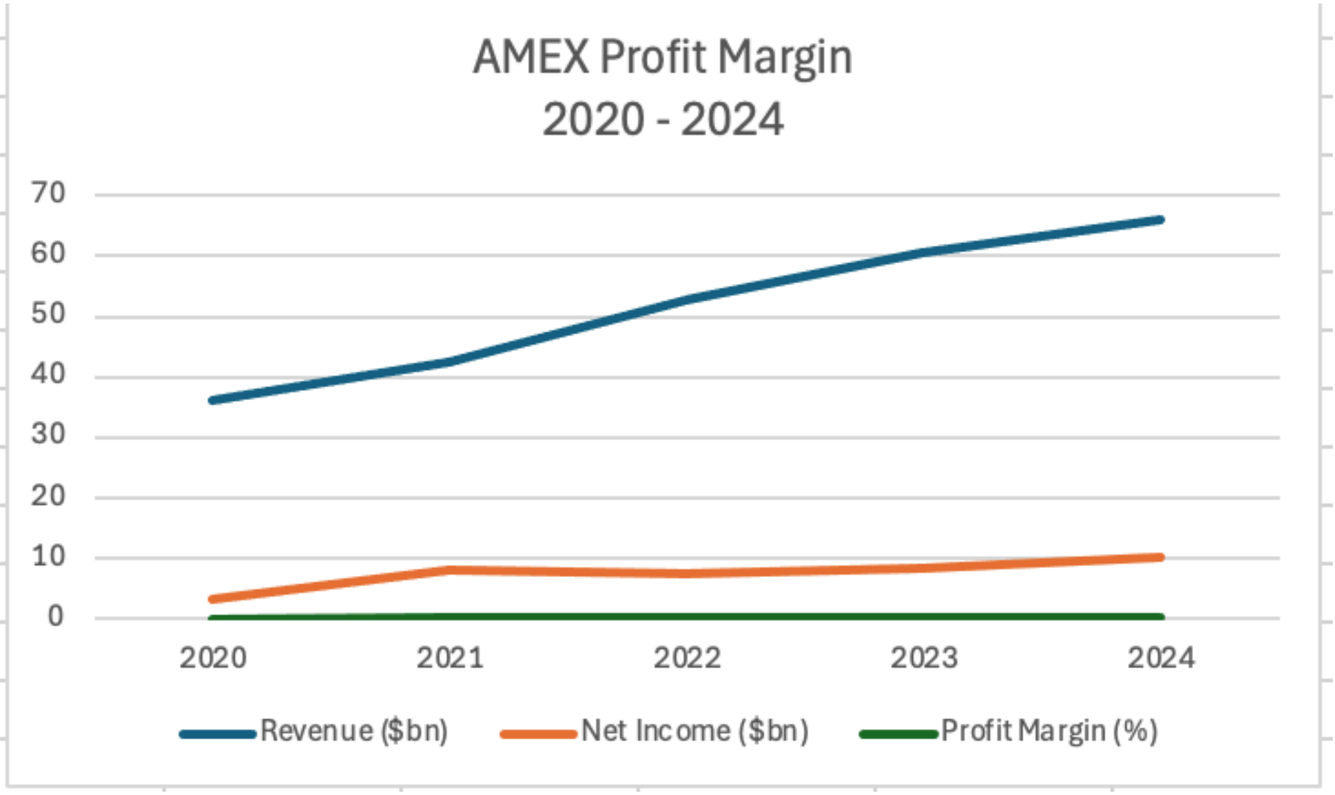
Observational insights

- 2020 shows pandemic impact with lower revenue and significantly compressed profit.
- 2021 demonstrates strong recovery, with profit more than doubling as credit losses fell and spending rebounded.
- 2022–2024 show steady revenue growth and expanding profitability.
- 2024 records the highest revenue and net income in the five-year period.

Profit Margin Analysis

AXP 2020–2024

Year	Revenue ($bn)	Net Income ($bn)	Profit Margin (%)
2020	36.09	3.14	8.7%
2021	42.38	8.06	19.0%
2022	52.86	7.51	14.2%
2023	60.52	8.37	13.8%
2024	65.95	10.13	15.4%



Observational Insights

1. Pandemic impact (2020): Profit margin dropped to 8.7% due to economic contraction and higher credit provisions.
2. Recovery surge (2021): Margin almost doubled to 19.0%, reflecting strong operational leverage and a rebound in spending.
3. Normalisation (2022–2023): Margins stabilised around 14%, as expenses and competitive dynamics normalised.
4. Strong positioning (2024): Margin improved to 15.4%, confirming resilient profitability and a solid base for continued growth.

DATA GAPS

SCOPE 3 EMISSIONS

While AMEX reports Scope 3 emissions, measurement accuracy remains limited due to data availability constraints and methodological inconsistencies across suppliers.

LACK OF STANDARDISED ESG METRICS

Despite alignment with global ESG reporting frameworks, inconsistencies in metric selection and disclosure granularity limit full comparability across firms.

SOCIAL IMPACT MEASUREMENT

Social performance measurement remains largely qualitative, making objective impact assessment challenging.

GOVERNANCE DATA IS HIGH-LEVEL

Governance quality, while structurally robust, remains difficult to evaluate quantitatively beyond board composition and compliance disclosures.

VOLUNTARY DISCLOSURE BIAS

As ESG disclosures remain largely voluntary, reporting bias cannot be fully eliminated, potentially limiting data objectivity.

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